

Amazon.com, Inc.

AMZN NASDAQ

Buy \$260.11 ▼ 2.16% 12M Price Target \$295.00 52-Week Range \$196.00 – \$287.20

Market Cap \$2.81T

AMZN: Tariff Refunds and AI Debt Fatigue Weigh Today

WHAT HAPPENED

- AMZN dropped 2.16% to \$260 — this looks like it's part of a broader tech wobble (Tech ETF -4% over 5 days). The Reuters piece on "AI debt fatigue" is the real story: investors are starting to question whether hyperscalers like Amazon are borrowing too much to fund AI data centers. When the market gets nervous about AI capex, AMZN gets hit because AWS is spending tens of billions on Nvidia chips and infrastructure.
- The UPS/FedEx/DHL tariff refund story is a subtle tell — carriers are refunding customers for Trump tariffs that got rolled back or refunded. That's actually a mild positive for Amazon's logistics costs, but not enough to overcome the AI capex worry today.

WHY IT MATTERS

Here's what's really going on: the market is having a mini-panic about how much debt Big Tech is piling on to build AI infrastructure, and AMZN is caught in that crosscurrent even though it's arguably the best positioned. Meanwhile, the CEO of Amazon's retail business (Herrington) sold ~\$1M in stock last week — not huge, but not a vote of confidence either. The bullish signal to focus on: options flow is screaming BULLISH with a 0.41 put/call ratio (meaning traders are buying 2.5x more upside bets than downside protection) and there's a massive unusual call buy at the \$120 strike — that's someone making a big long-term bet. This tells me the smart money is using the dip to accumulate, even as retail worries about AI spending.

POLICY & POLITICAL WATCH

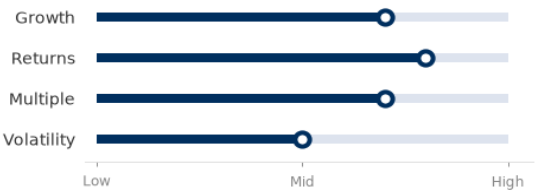
The Trump tariff situation is the biggest live wire — the news that shipping carriers are refunding tariff overpayments suggests Trump's tariff regime is getting messier and possibly walked back in spots, which is a net positive for Amazon's third-party sellers (many source from China). Watch the FTC antitrust case against Amazon — the Trump-era FTC under new leadership has signaled a lighter touch than the Khan era, which is a meaningful tailwind that isn't priced in yet. Also on the radar: any executive order on AI infrastructure/permitting for data centers — Trump has been pushing to fast-track power and land approvals, which directly benefits AWS's build-out.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$260.11
12M Price Target	\$295.00
Upside / (Downside)	+13.4%
Market Cap	\$2.81T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	37.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$278.00	\$265.00	\$248.00
6 Months	\$305.00	\$280.00	\$240.00
1 Year	\$330.00	\$295.00	\$230.00
2 Years	\$380.00	\$325.00	\$220.00
5 Years	\$500.00	\$400.00	\$250.00
10 Years	\$750.00	\$550.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% over 5 days) — this ties to Trump's "drill baby drill" agenda and rising power demand from AI data centers. Ironc tailwind: more energy demand = more AWS revenue eventually.

COOLING OFF: Tech (-4% over 5 days) and Communications (-1.7%) — the AI debt narrative is dragging the whole megacap complex.

ROTATION WATCH: Money is rotating out of tech into energy and defensives as investors get nervous about AI ROI. This is a healthy pullback, not a regime change — the AI buildout thesis is intact.

RELATED PLAY: If AMZN's AWS thesis holds, the picks-and-shovels plays win too — think Vertiv (VRT) for data center cooling, or Constellation Energy (CEG) for the nuclear power AWS needs.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Riding energy sector strength and Trump's fossil-fuel-friendly policies
- TSLA (Tesla): Just got Vegas robotaxi permit today — autonomous rollout momentum

AMZN CONTEXT: AMZN is lagging its megacap peers slightly this week, but it's actually holding up better than pure-AI names. That relative strength tells me the retail/AWS diversification is providing a floor — the stock isn't a one-trick AI pony, and that's why I'd buy this dip rather than sell it.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — high quality business at a fair price with a friendlier regulatory backdrop, but the AI capex overhang is real short-term.

POSITION SIZE: 4-6% — this is a core holding, not a trade. Big enough to matter, small enough to sleep at night.

ENTRY POINTS: Add on pullbacks to \$250-258. If it breaks \$248 on macro panic, back up the truck to \$240.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q3 earnings showing AWS growth accelerating and Trump-era FTC signaling on the antitrust case.

WHEN TO BAIL: If AWS growth drops below 15% YoY two quarters in a row, or if a court forces an AWS spin-off, I'm out.

HEDGING: Buy a put at the \$240 strike expiring in 3-6 months — think of it as insurance that pays off if the stock craters. Costs a small premium but caps your downside.